

26SMCV01980 26SMCV01980

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Case Number: 26SMCV01980 Hearing Date: September 10, 2026 Dept: O

TENTATIVE RULING

September 10, 2026

26SMCV01980 (Schild v. Realstone, Inc.)

RELEVANT BACKGROUND

On April 10, 2026, plaintiff Walter Schild (Plaintiff) filed his complaint against defendant Realstone, Inc. (Defendant) and Does 1-20, alleging five causes of action: 1. Breach of Contract — Direct Material Purchases 2. Breach of Contract — Third-Party Beneficiary of Subcontract 3. Breach of Implied Warranty 4. Breach of Implied Covenant of Good Faith and Fair Dealing 5. Violation of Bus. & Prof. Code § 17200.

Plaintiff alleges that Defendant failed to deliver stone/tile materials purchased by Plaintiff (Compl. ¶ 5) and failed to complete the installation of stone/tile countertops under a subcontract with Plaintiffs now bankrupt general contractor. (Id. ¶ 11.) Plaintiff does not allege a contract between Plaintiff and Defendant for the delivery and installation of stone/tile on the project, rather, Plaintiff alleges that he was a third-party beneficiary of that contract. (Id. ¶ 4, 6.)

Additionally, Plaintiff alleges that the general contractor who had the direct contract with Defendant filed for bankruptcy protection on or about June 30, 2016. (Id. ¶ 9.) Plaintiff

then alleges that, following the general contractor's bankruptcy, Defendant ceased performing work at the property and failed to complete the Defendant's scope of work under the subcontract with the bankrupted general contractor. (Id. ¶ 10.)

Plaintiff admits that

Defendant's cessation of work was on or about March 24, 2016, over ten years prior to the date in which Plaintiff filed this action. (Id. ¶ 11.) Plaintiff alleges that over five years after the initial general contractor's bankruptcy and Defendant's cessation of work, he hired a new general contractor. (Id. ¶ 13.) Notably, Plaintiff does not allege that Defendant entered into a new subcontract with the new general contractor or with Plaintiff directly for the completion of the installation of stone/tile under the initial, bankrupt contract. (Id.) Plaintiff then alleges a breach of contract for Defendant's failure to complete the scope of work under the prior subcontract with the bankrupt contractor. (Id.)

INSTANT MOTION

On May 26, 2026, Defendant filed the instant demurrer to each cause of action alleged in the complaint. Plaintiff filed an opposition, and Defendant filed a reply.

MEET AND CONFER

The Court finds that

Defendant has satisfied the meet and confer requirement. (See Niebrow Decl.)

DISCUSSION

I.

DEMURRER

A. Statute of Limitations

A cause of action for breach of a written contract is subject to a four-year statute of limitations. (Code Civ. Proc., § 337, subd. (a).)

Here, Defendant argues that the claims made by Plaintiff all arise from the alleged breach of contract and all

are outside the maximum four-year statute of limitations. Defendant ceased work on March 24, 2016, the general contractor under the alleged third-party beneficiary contract filed bankruptcy in June 2016, and Plaintiff filed his complaint on April 10, 2026. (Compl. ¶ 11-13.) Defendant highlights that there is no negligence cause of action pled in this complaint, and all actions accrue from the alleged breach of contract and argues that Plaintiff's claims, as alleged, are well outside the statute of limitations.

In opposition, Plaintiff argues that the claims are not time-barred because the complaint alleges delayed discovery (Compl. ¶¶ 12, 14, 16–18, 21(a)–(b), 35) and equitable estoppel (Id. ¶¶ 13, 16, 18, 21(b), 24, 28–29). As to non-delivery of materials, Plaintiff argues that the Complaint alleges that Plaintiff did not discover, and could not have discovered through reasonable diligence, the facts constituting Defendant's breach of its delivery obligations until October 13, 2021, when Defendant admitted in writing that it “can't locate any materials related to this job in our shop.” (Id. ¶¶ 12, 16, 18.) With respect to equitable estoppel, Plaintiff points to Paragraph 16 that Plaintiff “thereafter reasonably forbore from filing suit based on Defendant's continued engagement through approximately November 2022.” (Id. ¶ 16.) Lastly, Plaintiff contends that the UCL cause of action is timely because the complaint alleges defective installation in violation of Business and Professions Code section 7109 (Id. ¶¶ 49(b), 50) with latent injury manifesting June 2022 (Id. ¶¶ 14, 17).

In reply, Defendant contends that Plaintiff has failed to properly disclose the issues arising from his alleged delay in discovery and that the express allegations of the Complaint effectively negate any such delayed discovery.

The Court finds that the Complaint fails to allege facts sufficient to support Plaintiff's contentions regarding delayed discovery or equitable estoppel. (See Compl. ¶ 12-18, 21(a)–(b), 28-35.) As Defendant points out, Plaintiff concedes in the Complaint that March 24, 2016, was the last day Defendant performed services; the general contractor filed for protection under the bankruptcy code on June 30, 2016; and Plaintiff contacted Defendant to request completion of the remaining work and Defendant refused on October 13, 2021. (Id. ¶ 7-10.) Plaintiff argues that it did not discover the alleged conduct until October 13, 2021, when Defendant stated in an email response that it could not “locate any materials related to this job in our shop.” (Id. ¶ 12.) But it is unclear to the Court how this shows that Plaintiff

did not discover, and could not have discovered with reasonable diligence, the conduct at issue prior to that email.

Additionally, Plaintiff alleges that he discovered construction defects in the work that Defendant had performed at the Property in June 2022, but there are no facts to support this contention. But the Court finds that leave to amend is appropriate because it is reasonably possible for the defect to be cured by amendment.

Accordingly, Defendant's demurrer to the complaint based on the statute of limitations is SUSTAINED WITH LEAVE TO AMEND.

Plaintiff may have thirty (30) days in which to file and serve an amended complaint.